

Alphabet Surpasses \$350B in Revenue as Google AI Overviews Reshape Search

Google Cloud crosses \$43B milestone; AI-generated search summaries show no meaningful ad revenue cannibalization

By Digital Advertising & Cloud Desk | February 11, 2026

LOB	FY2025 Revenue	\$43.2B (+28%)	Google Cloud	\$100.1B	Net Income	\$36.2B	YouTube A
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Alphabet Inc. reported its full-year 2025 results, posting revenue of \$350.0 billion, a 12.5% increase from fiscal 2024, as strength in Google Search advertising and a rapidly scaling Google Cloud business more than offset headwinds in Google Network revenues. Net income reached \$100.1 billion the first time the company has crossed the \$100 billion net income milestone with diluted EPS of \$8.04.

Google Search & Other revenue, the company's largest segment, grew 12.8% to \$198.1 billion. CFO Anat Ashkenazi addressed investor concern about AI Overviews the AI-generated summaries displayed at the top of search results noting that click-through rates on sponsored links have not materially declined since the feature's broader rollout. 'Search is evolving, and advertising is evolving with it,' Ashkenazi said, pointing to new AI Max for Search Campaigns as a vehicle for monetizing conversational queries.

YouTube advertising revenue rose 15.3% to \$36.2 billion, driven by connected TV growth, YouTube Shorts monetization improvements, and brand spend returning to the platform. YouTube now reaches over 2.7 billion signed-in users monthly and has overtaken traditional broadcast television in U.S. viewing hours for the second consecutive year according to Nielsen data.

Google Cloud delivered \$43.2 billion in revenue, growing 28% year-over-year, and achieved an operating income of \$7.6 billion for the full year as the cloud unit continues to scale its margins. Google Cloud gained traction in financial services, healthcare, and public sector verticals through its Vertex AI platform, which now supports over 200 foundation models including Gemini Ultra. CEO Sundar Pichai described Google Cloud as 'the fastest-growing major cloud platform' and highlighted momentum in sovereign cloud contracts across Europe and the Middle East.

Capital expenditures reached a record \$75.1 billion in 2025, with the majority allocated to data center expansion, custom Tensor Processing Units (TPU v6 and v7), and undersea cable infrastructure. Despite elevated spend, free cash flow remained robust at \$66.4 billion. Alphabet repurchased \$62.2 billion of its own shares during the year and initiated its first-ever quarterly cash dividend of \$0.20 per share in early 2025, paying out approximately \$2.5 billion in dividends for the year.

Other Bets Alphabet's portfolio of long-term bets including Waymo, Wing, and Verily contributed \$1.75 billion in revenue while generating an operating loss of \$1.06 billion, a marked improvement from prior

years. Waymo expanded its commercial robotaxi service to eight U.S. cities and announced a joint venture with a major Japanese automaker to deploy autonomous vehicles in Tokyo by 2027. Management reiterated that Waymo remains on a path toward a standalone public offering in the 'medium-term.'

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